AGGREGATE DEMAND AND AGGREGATE SUPPLY

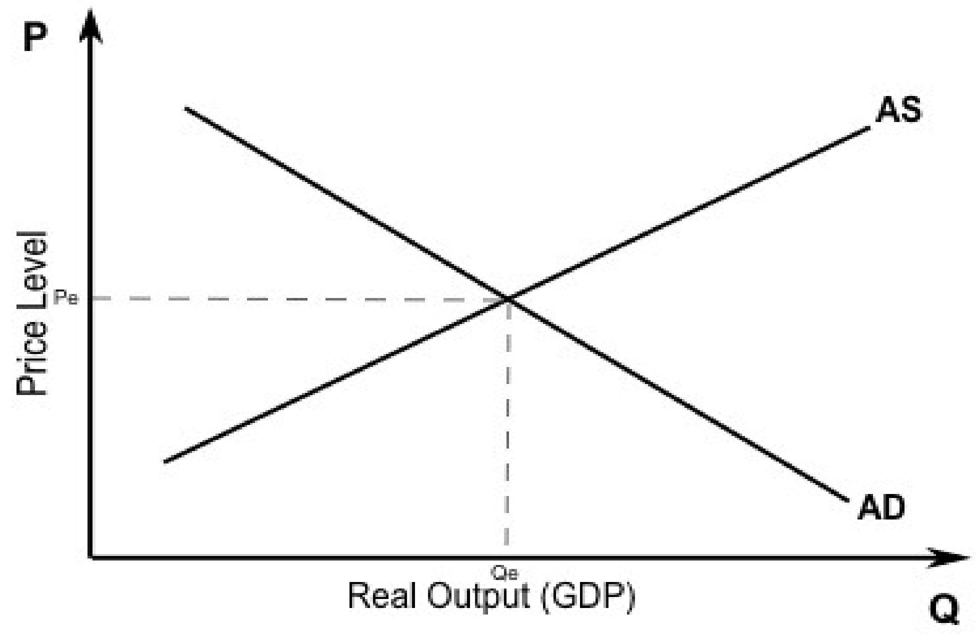
What the AD-AS model illustrates

The AD-AS (aggregate demand-aggregate supply) model is a way of illustrating national income determination and changes in the price level. We can use this to illustrate phases of the business cycle and how different events can lead to changes in two of our key macroeconomic indicators: real GDP(National Income)and inflation.

AGGREGATE DEMAND AND AGGREGATE SUPPLY

Features of the AD-AS model

Two axes: a vertical axis labeled “Price level” or “PL” and a horizontal axis labeled “real GDP.”(National income)



AGGREGATE DEMAND AND AGGREGATE SUPPLY

A downward sloping aggregate demand curve labeled “AD.” An upward sloping short-run aggregate supply curve labeled “SRAS.” (Short run Aggregate Supply Curve).

AGGREGATE DEMAND

Aggregate Demand:

Aggregate demand is the total expenditure which all households and business firms want to make on goods and services in a period at various levels of national income. In a two sector economy, aggregate demand consists of two components. First , there is consumption demand and secondly, there is a demand for capital goods which is called investment demand.

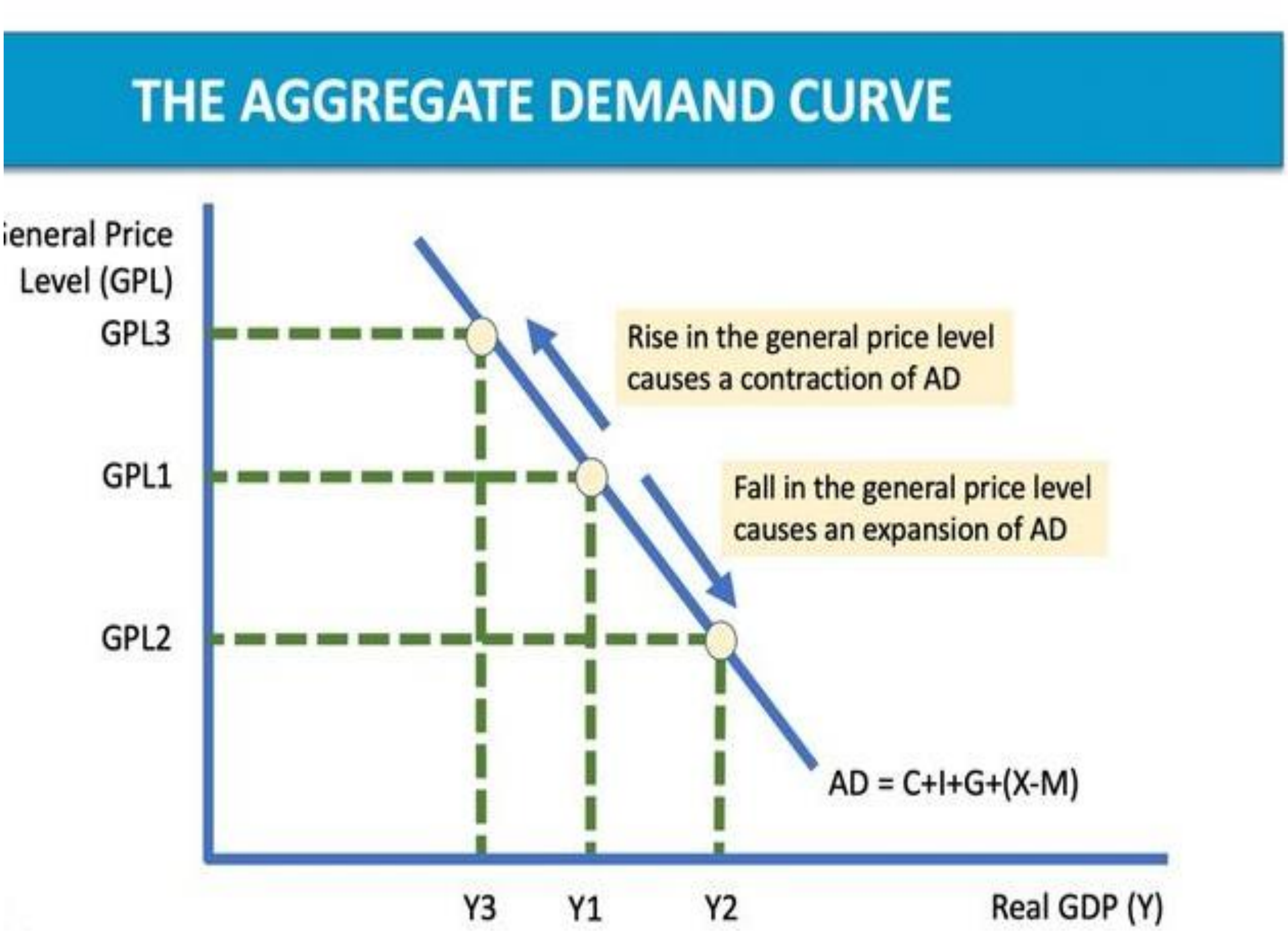
AD= C+I

In a four sector economy it is,

AD= C+I+G+(X-M), where, G=Govt. Expenditure Sector

Net Export= (X-M)= foreign Sector

AGGREGATE DEMAND CURVE



AGGREGATE DEMAND

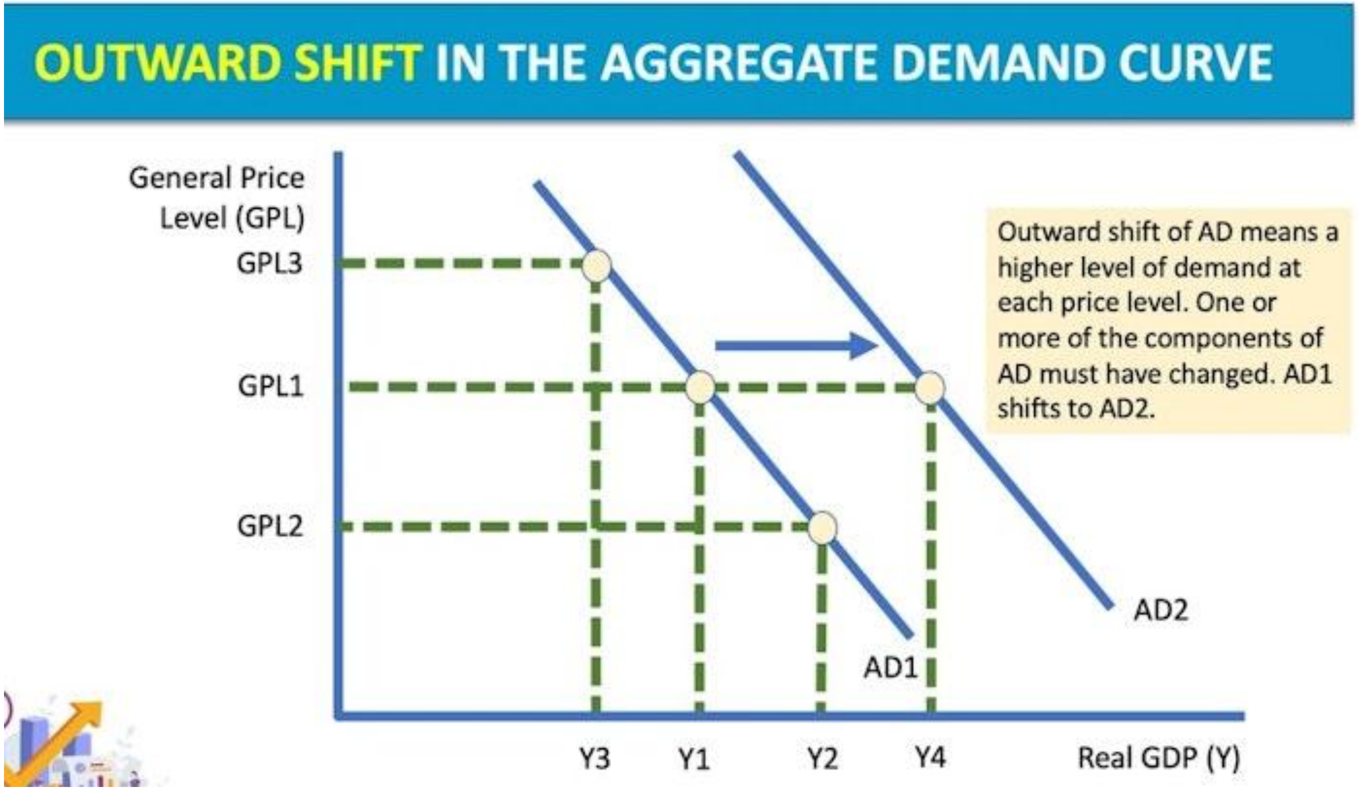
Shifting Aggregate Demand Curve:

The aggregate demand curve, or AD curve, shifts to the right as the components of aggregate demand—
consumption spending,
investment spending,
government spending, and
spending on exports minus imports—rise.
The AD curve will shift back to the left as these components fall.

Shifts in the Aggregate Demand curve

Shifts in the aggregate demand curve are caused by factors independent of changes in the general price level.
An outward shift of AD means a higher level of demand at each price level. One or more of the components of AD must have changed. AD1 shifts to AD2.

AGGREGATE DEMAND



AGGREGATE DEMAND

What are the main causes of shifts in the level of aggregate demand?

Changes in real incomes and employment

Changes in government spending, taxation and borrowing

Changes in monetary policy interest rates and the supply of credit

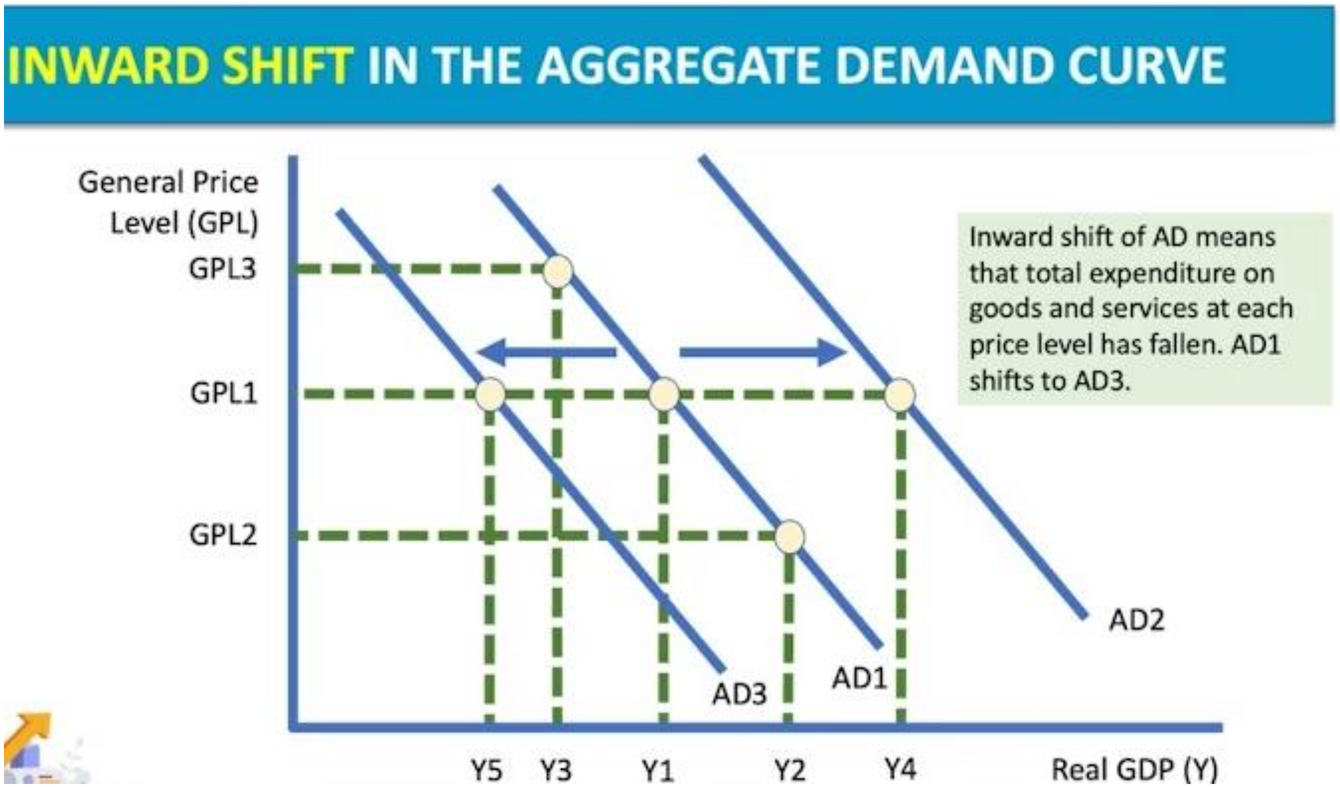
Changes in the external value of a country's exchange rate

Changes in the rate of economic growth of trading partner nations

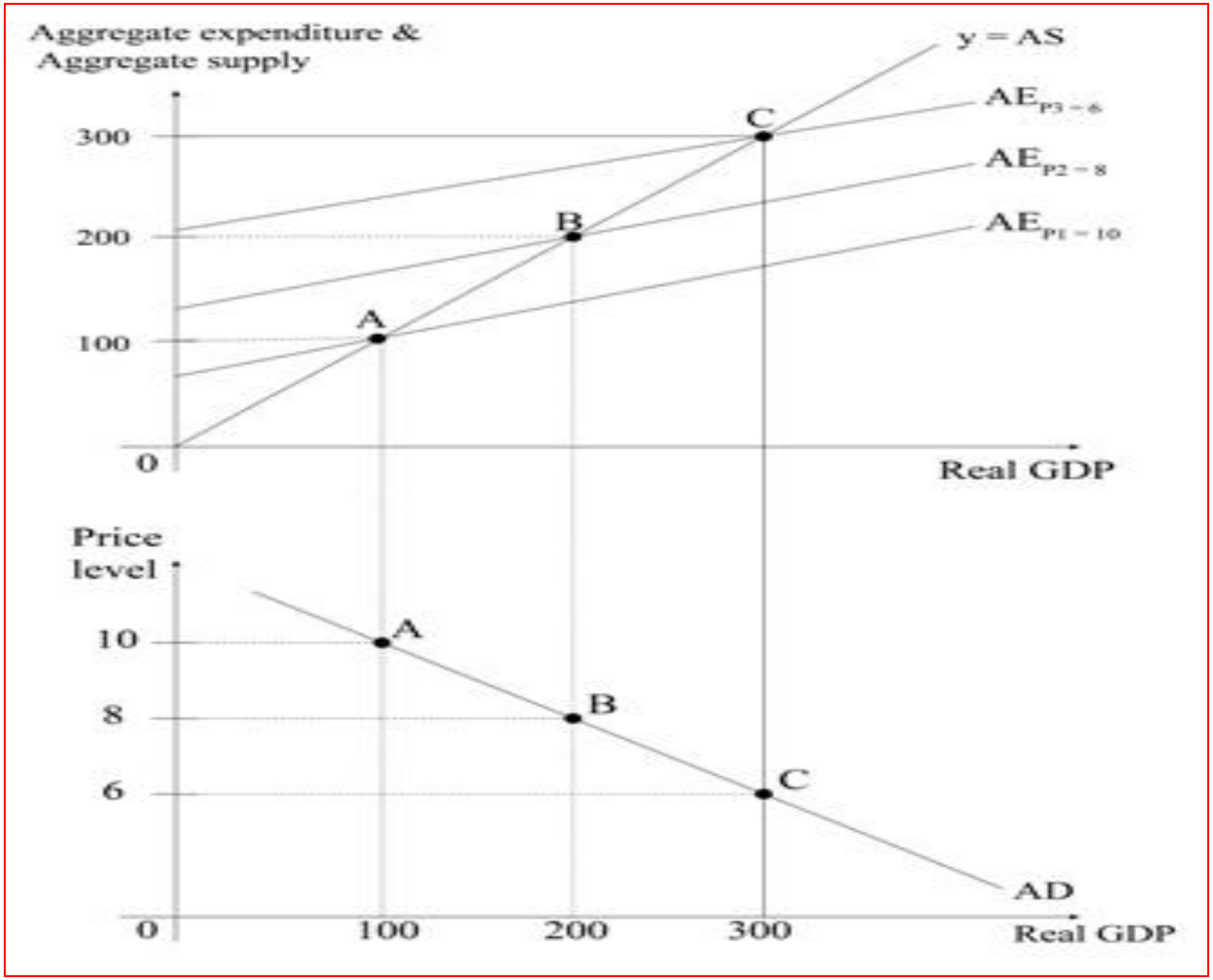
Fluctuations in consumer and business confidence

An inward shift of AD means that total expenditure on goods and services at each price level has fallen. AD1 shifts to AD3.

AGGREGATE DEMAND



DERIVATION OF AGGREGATE DEMAND CURVE



DERIVATION OF AD CURVE

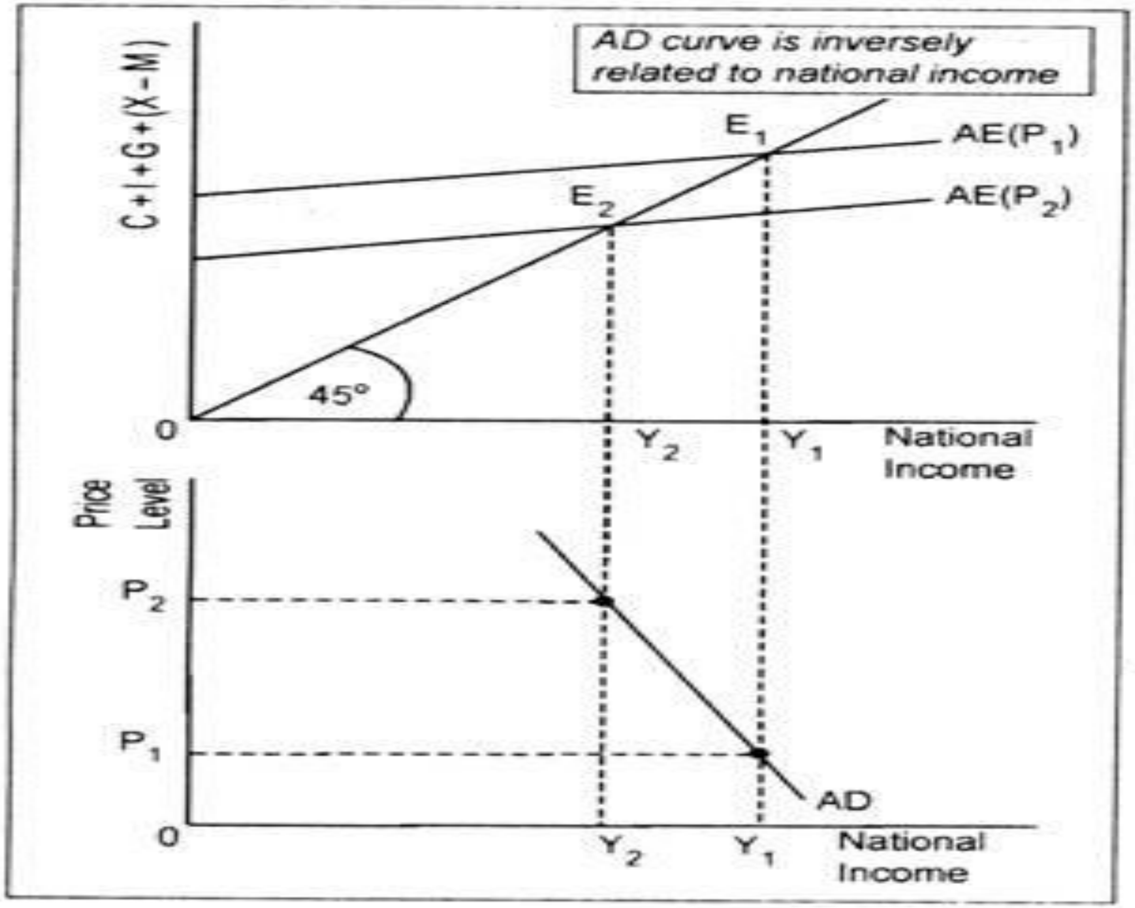


Fig. 3.26: Derivation of Aggregate Demand Curve when Price Level Varies

AGGREGATE SUPPLY

Aggregate supply:

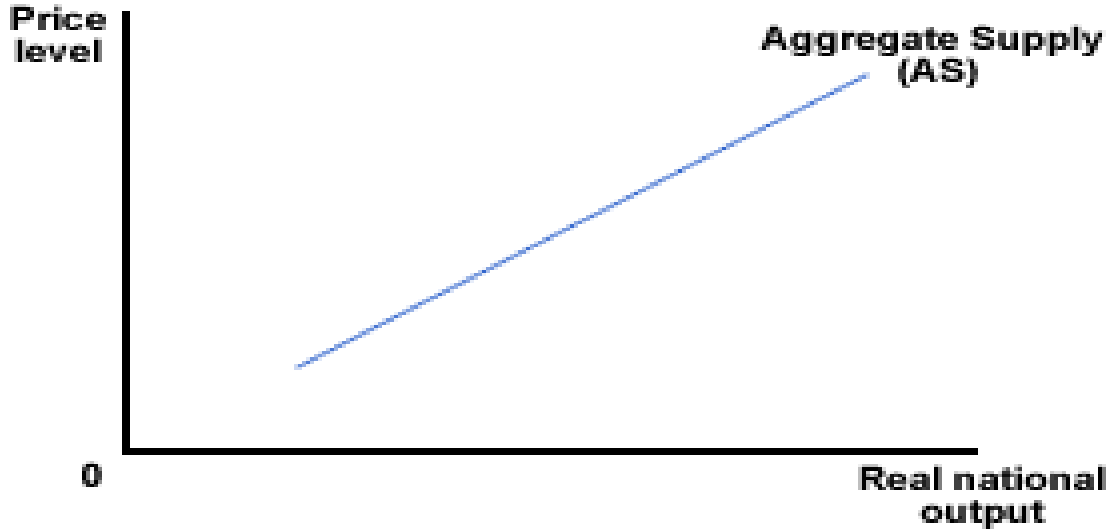
The Aggregate supply means the total money value of goods and services produced in an economy in a year. There are two important constituents of aggregate supply:

1. The supply or output of final consumer goods and services in a year. And

2.The output of capital goods which are also called investment goods or producer goods because they help in producing goods.

AGGREGATE SUPPLY

Aggregate supply curve



DEMAND PULL INFLATION

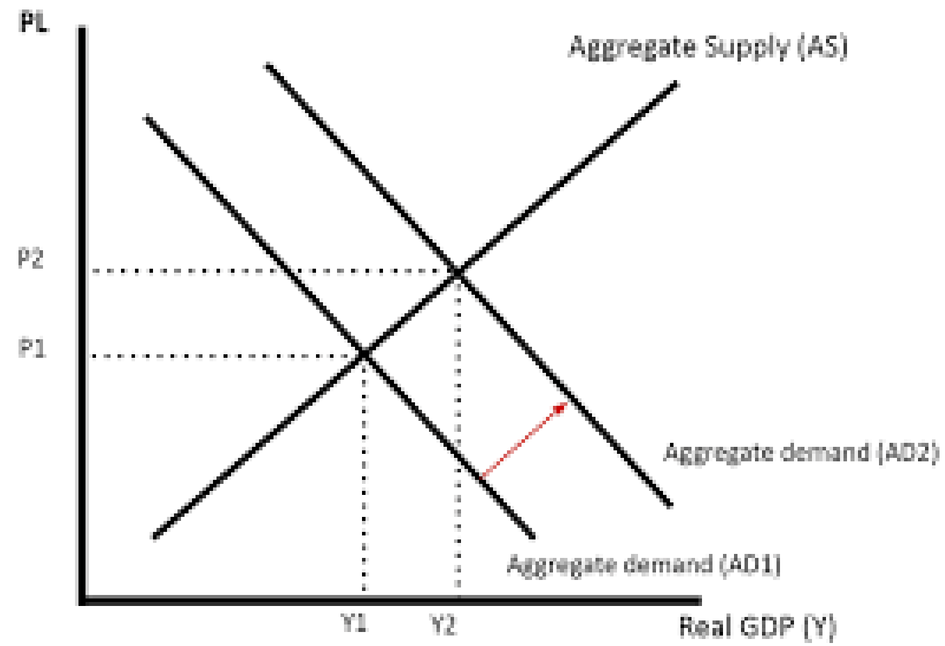
Demand pull inflation curve

AD=increase in C, Increase in I, Decrease in interest rate

Increase in

Govt. expenditure

Increase net export



AGGREGATE SUPPLY CURVE

Cost push Inflation: (stagflation)

Increase in raw material

Increasing

Fuel cost

War, odd

Situation

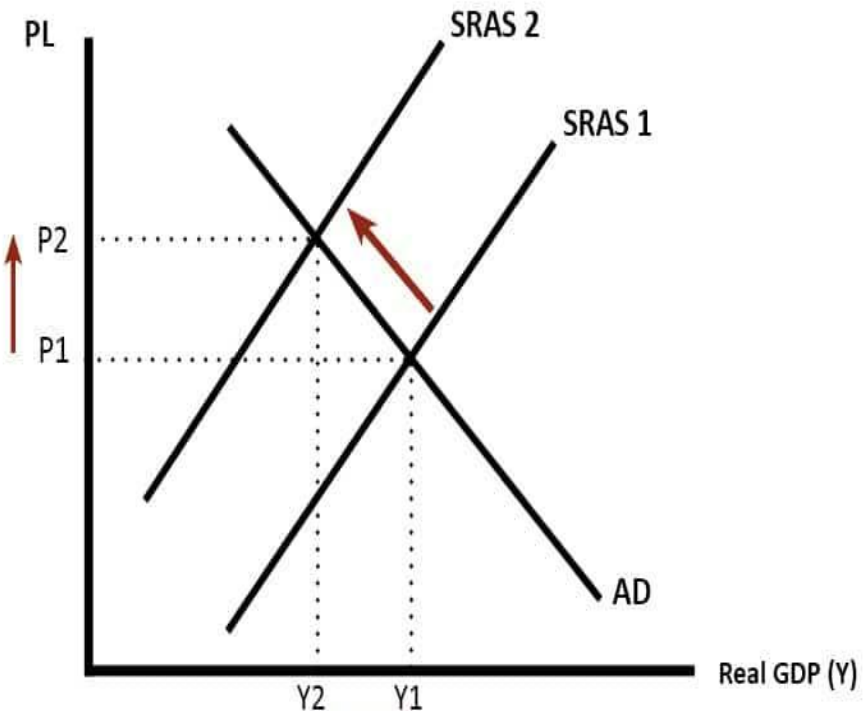
When

Price rising

Real GDP

Decreases

Stagflation situation



MONETARY POLICY(MECHANISM OF INCREASING AD)

Problem: Recession and Unemployment

Measures:

Central bank buys securities through open market operations.

It reduces cash reserve ratio

It lowers bank rate

Money supply increases

Interest rate falls

Investment increases

Aggregate demand increases